

A PLAIN-ENGLISH EXPLAINER

Two Margin Calls

How a market can fall 33% without anyone borrowing too much — and why one forced seller was finished in a week while another is still going.

Written for someone who has never had a margin account and does not want to pretend otherwise.

Based on “Two Margin Calls,” published by TSCS on 31 July 2026. Every chart in this document is the author's own, reproduced from the original. All the jargon is explained the first time it appears, and nothing here assumes you already know what a maintenance ratio is.

Market prices checked and current as at the close of Monday 3 August 2026.

ORIENTATION

Start here: the whole thing in one page

In June and July 2026 the South Korean stock market fell apart. The index dropped about a third in a month, which is worse than anything it did in the 1997 Asian crisis or the 2008 financial crisis. In the middle of it the exchange had to halt trading on two consecutive days — the first time that has ever happened. Then, on the last Friday of July, it rose 17.91% in a single session, the biggest one-day gain in its history.

Everybody had the same explanation ready. Ordinary people had borrowed too much money to buy two semiconductor stocks, the stocks fell, and the borrowing blew up. Korean margin debt did in fact hit an all-time record of ₩38.6 trillion in June, and that number appeared in every write-up.

The author of the piece this document is based on sat down to write exactly that story. Then he pulled the data, and the data refused to cooperate. Measured properly — against the cash sitting in those very same accounts, which is how Korea's own central bank measures this — borrowing was actually BELOW its twenty-year average when the market broke. That has never happened before. Every previous Korean crash arrived with borrowing running hot.

So he needed a different explanation, and the one he lands on is the interesting part. It isn't about how much was borrowed. It's about WHO borrowed it, and what their loan agreement says.

In the same week, on the same asset, two different borrowers got margin calls. One was finished in seven days. The other is still going a month later. The difference had nothing to do with the shares.

That is the argument. The rest of this document builds it up slowly, defines every term the first time it turns up, and shows you the author's own charts along the way. There is a glossary at the back if you want to look something up out of order.

WORTH KNOWING — A NOTE ON HOW TO READ THIS

This is a summary of one person's argument, not a verdict on whether he is right. Where I have checked his figures against independent sources I say so; where he has made a small error I have corrected it in a shaded box like this one. He publishes his data sources and puts a date on his prediction, which is more than most people do — but a well-argued forecast is still a forecast.

Chapter 1: What a margin call actually is

Before any of this makes sense, you need one idea: buying shares with borrowed money.

You have ₩100 million. You want to buy ₩200 million of shares. Your broker lends you the other ₩100 million and holds the shares as security — the technical word is collateral, meaning something the lender can seize and sell if you don't pay. This arrangement is called a margin account, and the loan is called margin debt.

If the shares go up 10%, your ₩200 million becomes ₩220 million. You still owe ₩100 million, so your own money went from ₩100 million to ₩120 million. You made 20% on a 10% move. That is why people do it.

But it works identically in reverse. If the shares fall 10%, your own money drops from ₩100 million to ₩80 million. And now the lender has a problem, because the cushion protecting their loan has thinned.

IN PLAIN ENGLISH — MAINTENANCE RATIO

The rule that says how much cushion the lender insists on. In a standard Korean account the shares must be worth at least 140% of the loan. So on a ₩100 million loan, your shares must stay above ₩140 million.

Here is the wrinkle that matters later: 140% is the legal minimum, but individual brokers often demand more — 150% or 165% — depending on which stock it is and how large your position is. So it is usually the broker's own private rulebook, not the government's rule, that decides the exact moment you are in trouble.

When your collateral falls below that line, you get a margin call. That phrase sounds dramatic — someone shouting down a telephone — but it is really an administrative notice with a deadline attached. In Korea it works like this.

Step one: the notice

Your account is valued at the end of the day. If it has fallen through the maintenance ratio, you are notified. On 8 June 2026 the Korean index fell 8.3% in one session, and a great many phones pinged before lunch.

Step two: one business day

You have until the end of the next business day to fix it. You can wire in cash, transfer in other acceptable securities, or sell something yourself. That is the whole window, and it is the only point in this entire process where you get to make a decision.

Step three: the broker decides, not you

If you do not fix it in time, the broker sells your shares for you on the following morning. And you do not get to pick what goes. The broker works down a fixed list — the industry calls it a waterfall, because it flows in a set order and does not skip steps.

IN PLAIN ENGLISH — THE WATERFALL

At the big Korean brokers, the list starts with the specific position that caused the shortfall, or with whichever loan is oldest. One firm, KB, ranks by a formula that works out which sale best repairs the account.

The practical consequence is uncomfortable. The thing that gets sold is very often the concentrated semiconductor position that broke the account in the first place — which pushes that same stock down further, which breaks the next account holding it.

Step four: it clears in the opening auction

IN PLAIN ENGLISH — OPENING AUCTION

Most stock exchanges do not just start trading at a random price in the morning. They collect all the buy and sell orders that piled up overnight and match them in one batch to establish an opening price. That batch is the opening auction.

If you are a forced seller, this is where your shares go — into the same batch as everybody else's forced sales, on the same morning, at whatever price that batch happens to settle at. Nobody negotiates on your behalf. There is no phone call.

Hold on to that last point, because the entire argument of this document eventually rests on it.

THE STORY

Chapter 2: Five weeks in one account

Here is what those five weeks felt like from inside a Korean margin account, which is how the original piece opens.

On 8 June the index falls 8.3% and the margin call arrives. You wire the cash. Plenty of people don't — a Goldman Sachs desk note dated 16 July counted more than 1.2 million leveraged accounts triggering margin calls by the 13th. That is accounts, not people, but it is still an enormous number.

Then the market does the cruellest thing it can do to someone in your position: it rewards you. By 22 June the index is at an all-time high. Your decision to wire cash and hold on looks brilliant. The June break gets quietly reclassified, in your head and in everyone else's, as the buying opportunity it turned out to be.

So when the 23rd opens and the index drops 10% in a session, you already know what this is. You have seen this movie — it was two weeks ago. You wire more cash, and maybe you buy a bit more of the stock that is suddenly cheap again.

Then July. Another break on the 8th. Then, in the last week of the month, market-wide trading halts on both the 28th and the 29th — the first back-to-back halts in the exchange's history. And this time there is no cash left to wire, because you have been wiring it for five weeks. On the second business day the waterfall runs, and it takes the position that broke you.

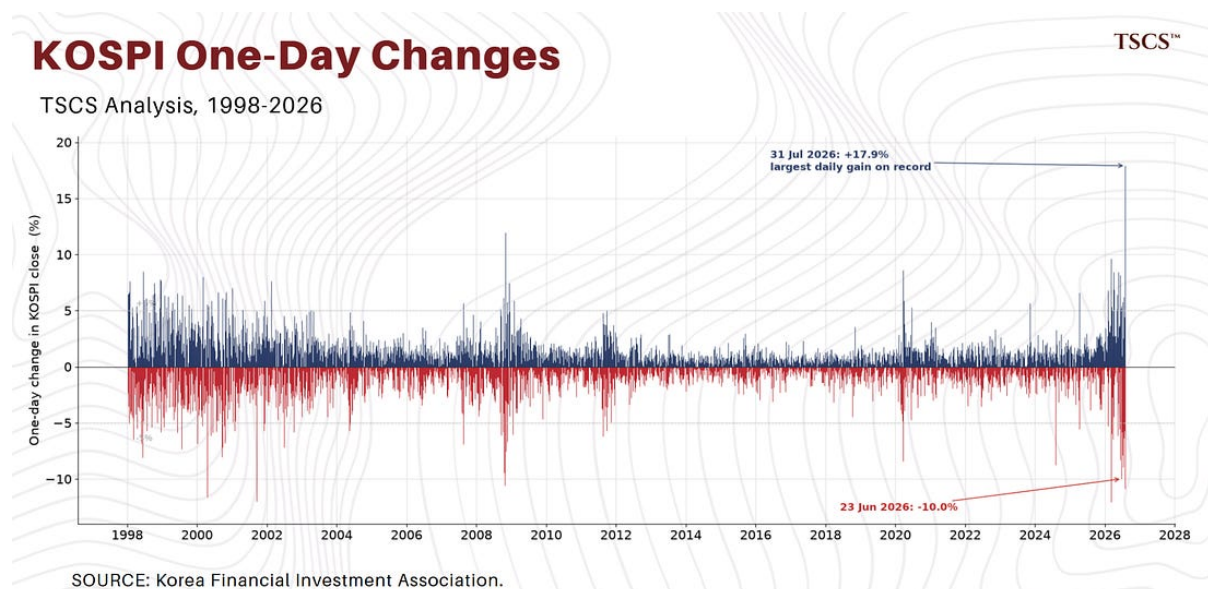


Figure 1. Every daily move in the Korean index since 1998. Notice the two labelled spikes at the far right, seven weeks apart: -10.0% on 23 June, and +17.91% on 31 July, the largest single-day gain the index has ever recorded.

That chart is worth a moment. Think of it as a seismograph. For nearly thirty years the needle wobbles inside a fairly normal range. In the space of seven weeks this summer it has drawn two of the largest lines on the entire page, in opposite directions.

The lesson to take from it is not simply that the market got volatile. It is that a market printing its worst month since 1997 and its best day ever inside the same five weeks is not being priced by anyone's

opinion about semiconductors. Fundamental news does not move an entire index 17.91% in one session. The disappearance of a forced seller does.

WORTH KNOWING — THIS IS CONFIRMED, AND THE DETAIL UNDERNEATH IT IS THE REAL STORY

The index closed at 6,595.45 on 31 July, up 1,001.89 points or 17.91% — verified as the largest one-day gain in Korean history, beating October 2008.

Now look at who was doing what on that record day. Foreign investors bought a record ₩7.22 trillion of Korean shares. Domestic retail investors sold a record ₩8.25 trillion. On the single biggest up-day in the market's history, ordinary Korean investors were the sellers. That is precisely what a forced seller looks like: someone selling into strength because a contract says they must, not because they want to.

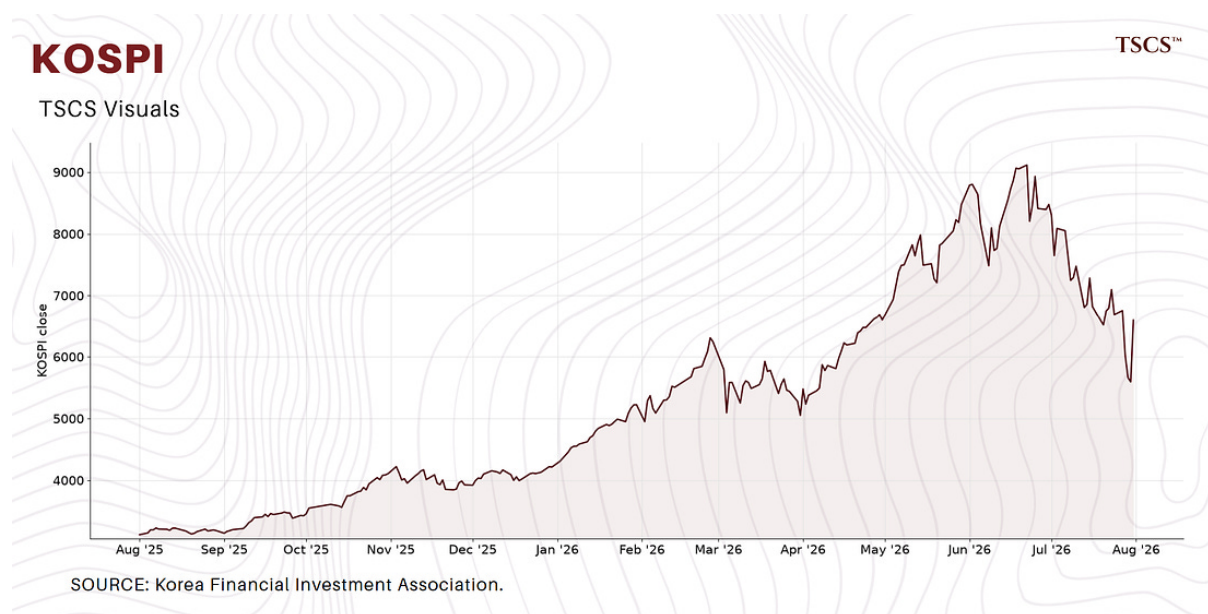


Figure 2. The same market over twelve months. The climb from last August, the near-vertical run from February, and then a right-hand edge that falls apart in steps rather than one clean drop.

The staircase shape on the right of Figure 2 is itself evidence. A market that panics once and bottoms out draws a single deep V. This draws four separate breaks with partial recoveries in between — which is what you get when a seller cannot stop early, gets patched up by wiring more cash, and then breaks again.

WORTH KNOWING — A SMALL CORRECTION TO THE ORIGINAL

The piece describes the all-time high as 9,114.55 on 22 June. The verified record close was 9,385.59, on 19 June 2026.

It is a minor slip and it works against the author rather than for him: from the true peak, the fall is deeper than he claims, not shallower. As at Monday 3 August the index closed 6,274.74, which is 33.1% below that record.

Chapter 3: The number everyone quoted, and the one nobody did

Now to the finding that made the author throw out his own first draft.

Korean margin debt peaked at ₩38.63 trillion on 24 June. Record, by a mile. That is the number in every article about this episode.

But a debt number on its own tells you almost nothing. ₩38.63 trillion of borrowing is alarming if the people who borrowed it have very little else; it is unremarkable if they are sitting on a mountain of cash. You need to compare the debt to something.

Conveniently, Korea publishes exactly the right something. Every day since 1998 it reports the total cash that customers are holding at their brokerage accounts — money that has been deposited but not yet spent on shares. On 24 June that figure was ₩136.55 trillion. Divide the debt by the cash and you get 0.283.

IN PLAIN ENGLISH — WHY THAT RATIO MATTERS

This is not a measure someone invented for this article. Margin debt divided by customer cash deposits is a gauge the Bank of Korea itself uses to judge how speculative this market has become. Think of it as a thermometer for excess.

Measuring borrowing in won alone is like measuring a fever by counting blankets. More blankets is not a fever unless you also know how big the person is. The ratio is the actual thermometer.

And the thermometer read 0.283 — which is the 45.9th percentile of twenty-eight years of daily readings, and the 27.6th percentile measured against everything since 2005.

Below average. At the all-time high. On the central bank's own gauge, the market was not running hot when it broke.

To see how odd that is, look at what the gauge read at the start of every previous Korean crash. 2008 arrived with it around 0.46. 2011, around 0.41. The all-time high reading, 0.48, printed in October 2018. Even the COVID crash of 2020 hit with the gauge at 0.35. Every single break in the modern record arrived with the thermometer elevated. This one arrived with it cool.

Korean Margin Debt and Retail Leverage

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TSCS Analysis, 1998-2026, Margin loan (Sinyong) balance (KRW tn, left) and margin-debt-to-deposits ratio (right); dd episodes shaded



SOURCE: Korea Financial Investment Association; ratio construction per Bank of Korea usage.

Figure 3. Two lines. The dark navy one rising to a spike on the right is margin debt in won — the record everyone quoted. The red one is the ratio: that same debt divided by customer cash. Grey bands mark past deleveraging episodes. Notice that the red line is high in every grey band, and low in 2026.

The obvious objection — and the author's answer

There is a sensible push-back here, and the author raises it himself before anyone else can, which is to his credit. The ratio could be low because the bottom half of the fraction got enormous. Record amounts of cash poured into Korean brokerage accounts through 2025 and 2026. If both the borrowing and the cash grew together, a low ratio does not prove restraint — it just proves the mania was funded by savings as well as by loans.

His response is to accept the point and then reframe it. Fine, he says: that means this was a cash-funded mania rather than a credit-funded one, and those two things end differently. In 2007 and 2018 the debt grew faster than the money — those were credit-funded, and a credit-funded position can be ended by a single decision at the lender. A cash-funded position ends one account at a time, at whatever pace the individual accounts break.

WORTH KNOWING — WHERE I WOULD PUSH BACK

That answer is clever but it is a reframing, not a refutation. “The gauge read cool because the cash was high” remains a perfectly coherent reading of the same data, and it leads to a much less alarming conclusion.

Also worth keeping in proportion: the claim that every prior break arrived hot rests on five observations spread across twenty-eight years — markets with very different products, different rules and different participants each time. It is a genuinely interesting pattern. Five data points is not a law.

So what does explain it?

If the total amount borrowed was not unusual, then the total amount borrowed coming down is not the cure, and something else has to account for what happened. The author's candidate is concentration: not how much was borrowed, but where it was pointed.

Roughly a third of all Korean margin credit was sitting on two stocks — Samsung Electronics and SK Hynix. On top of that, in May the regulator approved sixteen single-stock leveraged products. These are funds that mechanically deliver twice the daily move of one company's shares, so a 5% fall becomes a 10% fall for the holder. In seven weeks those sixteen products grew from ₩4.4 trillion to ₩11.9 trillion, stacked on the same two names. Korean press put the margin balance sitting on Samsung and Hynix alone at around ₩11 trillion.

So you had a very large amount of borrowed money, amplified further by leveraged products, pointed at two companies — and broker waterfalls that, when the shortfall came, sold that exact position first, into the same opening auctions, on the same mornings.

Chapter 4: The statistic that was measuring something else

This chapter is the author correcting his own earlier work in public, and the correction is more useful than the original claim.

Korea publishes a daily figure for forced selling, and it went vertical at every break: ₩169.8 billion on 9 June, ₩110.8 billion on the 24th, ₩142.2 billion on 9 July, ₩103.8 billion on the 30th. All four are above the 99th percentile of the twenty-year series — meaning higher than 99 days out of every 100 in the record. Naturally he read that as the margin-call machine at work.

It isn't. Read the definition published by KOFIA, Korea's financial investment association, and the series counts something narrower: liquidations of unpaid settlement balances.

IN PLAIN ENGLISH — UNPAID SETTLEMENT BALANCES (미수금)

When you buy shares, the money and the shares change hands two business days later — the industry calls this T+2. If you place a buy order and then cannot pay when settlement day arrives, the broker sells the shares to recover the money. That is what this statistic counts.

Crucially, it does NOT count the other thing: a broker running its waterfall through the collateral in a margin account. And that second thing is the entire subject of this document.

The number Korea quotes as “forced selling,” the one in every wire story, does not contain the forced selling from margin accounts at all.

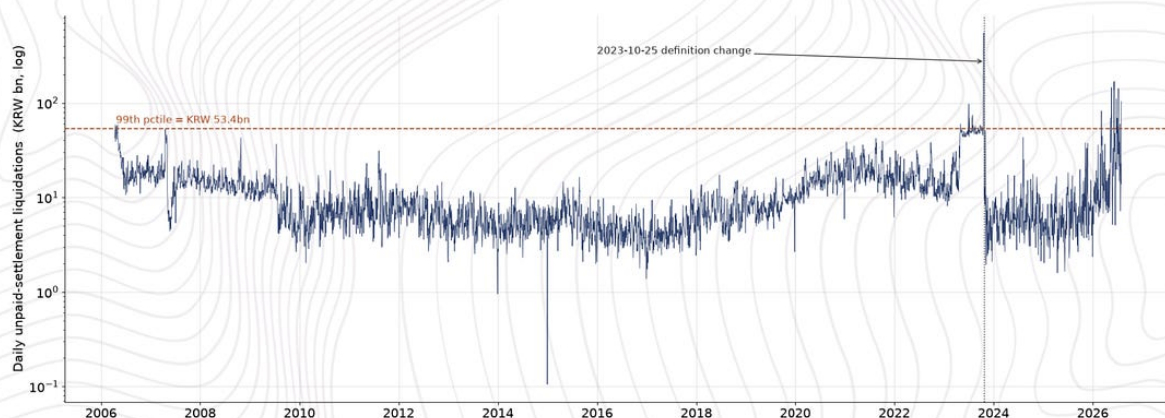
A way to picture it: imagine a hospital publishing a daily count of patients admitted, and you are using it to track an outbreak. Then you read the footnote and discover the count only includes people who walked in through the front door. Anyone arriving by ambulance is excluded. Your outbreak was always worse than the published figure, and you have no way of knowing by how much, because nobody publishes the ambulance number.

Unpaid-Settlement Liquidations (미수금 반대매매)

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TSCS Analysis, 2006-2026

Daily, KRW bn, 99th percentile marked. Excludes margin-loan collateral liquidations — this series is a floor on true forced selling, not the total.



SOURCE: Korea Financial Investment Association.

Figure 4. Daily unpaid-settlement liquidations, drawn on a logarithmic scale so both small and huge days are visible at once. The orange dashed line is the 99th percentile, ₩50.5 billion a day. All four break dates poke above it — and this series is only the front door.

So the honest statement of the evidence is this. The visible slice of forced selling printed top-1% readings at all four breaks. The larger slice is unmeasured. And the aggregate leverage gauge read cool the whole time. Korea's own statistics were understating the selling while it was happening.

WORTH KNOWING — VERIFIED — WITH ONE THING TO KEEP IN MIND

The daily figures check out. KOFIA's series totalled ₩3.442 trillion cumulatively across July, and the ₩142.2 billion print for 9 July matches the article exactly. So the “floor” he describes is a large floor, not a rounding error.

But notice the shape of the central claim in this chapter: the true number is bigger than the published number by an amount nobody outside the brokers can measure. That may well be true. It is also a claim that can never be checked by anyone — which is worth registering when it is the plank an argument rests on.

Chapter 5: Where the money went

Two numbers, side by side, over the same five weeks from 24 June to 30 July.

Margin debt fell ₩6.48 trillion, to ₩32.15 trillion. That is the deleveraging everybody is watching, and on its own it looks like healing.

Over the identical period, customer cash deposits fell ₩31.89 trillion, to ₩104.66 trillion.

| *Five won of cash left the system for every one won of debt repaid.*

Where did it go? The author is careful here and does not overclaim, which is worth noting. Some of it went to meeting margin calls. Some settled outright purchases, because retail investors were heavy net buyers on the way down. Some left for yield, because the Bank of Korea raised its policy rate to 2.75% mid-month and cash walking out of brokerage accounts during a rate-rising cycle is completely ordinary. Some is just settlement and IPO plumbing.

He does not claim it all went to margin calls. But one thing survives every one of those explanations: the cash buffer across the entire system is 23% smaller than it was five weeks earlier. Whatever selling is still to come now happens against a thinner buffer, at higher interest rates.

IN PLAIN ENGLISH — THE HOUSEHOLD VERSION

A family pays ₩1 off the credit card and takes ₩5 out of the emergency fund to do it. The debt statement looks better. The family is more fragile than it was.

WORTH KNOWING — THE RATE IS RIGHT

The Bank of Korea did raise its policy rate to 2.75% on 16 July 2026 — its first increase in three and a half years — and signalled more to come, citing inflation and household debt.

How far do these things usually go?

For scale, here is every completed margin deleveraging in the Korean record, measured as the fall in total margin debt from its peak: 82% in 2000–02, 85% in 2008, 48% in 2011, 39% in 2020, 38% in 2022. The fastest one took 30 days from start to finish. The slowest took 645.

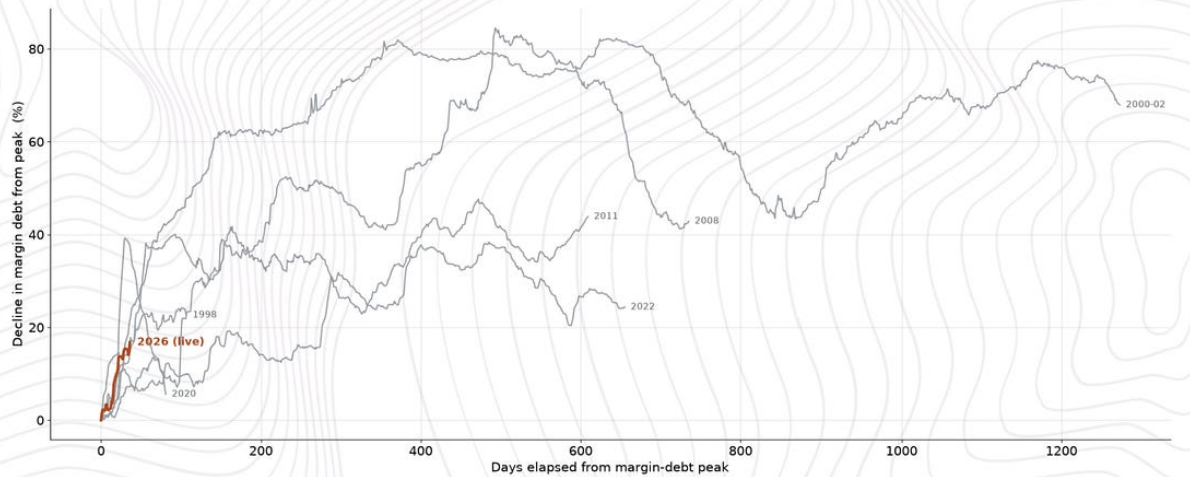
As at 30 July, this episode was 36 days old and margin debt was down 16.8%.

Margin-Debt Deleveraging

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TSCS Analysis, % decline from peak vs days elapsed

Completed episodes (grey) vs 2026 (bold, live). Source: KOFIA margin loan balance.



SOURCE: Korea Financial Investment Association.

Figure 5. Every completed Korean deleveraging episode in grey, plotted as the fall from peak against days elapsed. The short bold red stub in the bottom-left corner is 2026 so far.

Which produces the author's conclusion, stated more honestly than most: either this episode is something the historical record has never seen, or it is early. He does not claim to know which — although every other line in the piece leans towards early.

WORTH KNOWING — ONE CAVEAT ON THAT COMPARISON

“No completed episode was ever shallower than 38%” depends entirely on what counts as an episode. A mild wobble that fizzled out at 12% in some quiet year might simply never have been classified as one, which would tilt the whole comparison set towards the dramatic. He does publish his method, which is more than most people do — but the list is constructed, not handed down.

Chapter 6: The main idea — two margin calls, one week

Everything so far has been groundwork. Here is the actual point.

In the same week that a million Korean retail accounts were being liquidated, a New York hedge fund got a margin call on the same kind of asset. The fund was Situational Awareness, run by Leopold Aschenbrenner, and it was invested in the artificial-intelligence complex — the chipmakers, the memory manufacturers, the infrastructure. It had a spectacular year and then a catastrophic month.

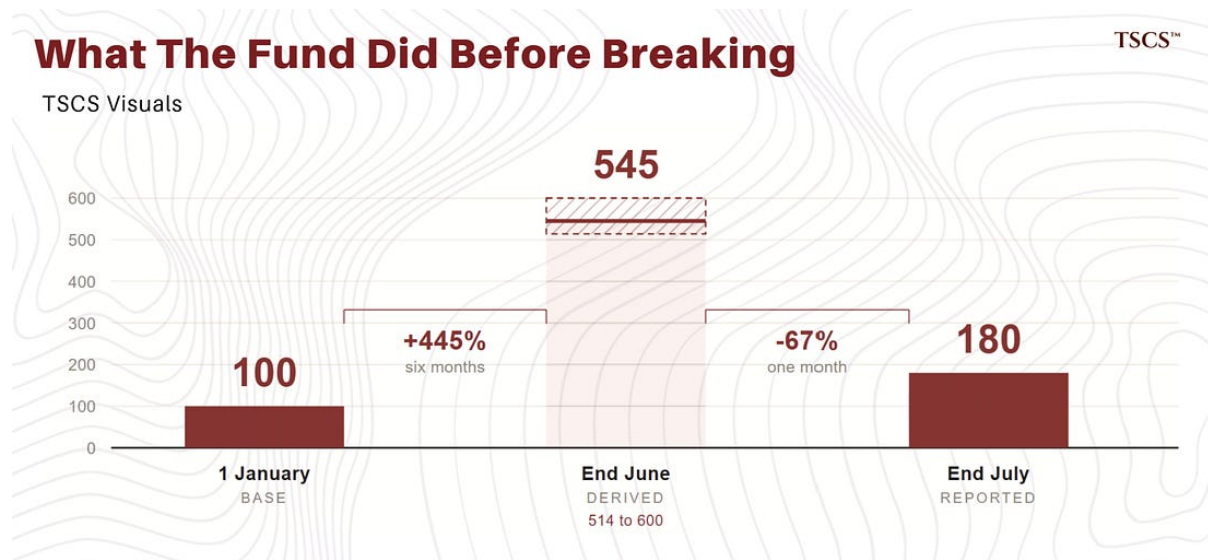


Figure 6. The fund, indexed to 100 at the start of January. Up 445% in six months, then down 67% in one, finishing July around 80% up on the year. The June peak is derived from reported figures rather than disclosed, and the chart says so.

Note in passing that “down 67%” and “up 80% on the year” describe the same fund in the same month. Both are true. Whenever someone quotes you a drawdown figure, the useful follow-up question is always: from when?

So: two borrowers, same week, same asset, both called. Now watch what happened to each.

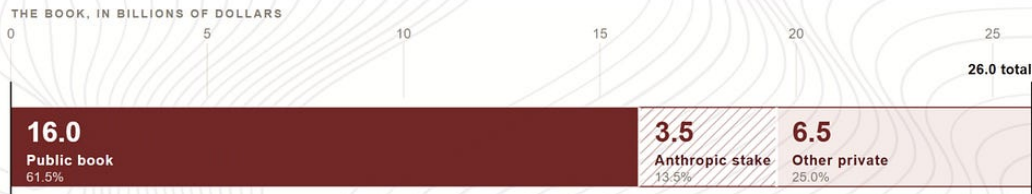
The New York call

The fund tried to raise fresh money. A letter dated 24 July invited new capital from 1 August; per Bloomberg's reporting, the commitments never materialised. So by Wednesday the prime brokers — the investment banks that had lent the fund its money — arranged the other exit. Citadel, one of the largest hedge funds in the world, bought the bulk of the public book in one negotiated block that Reuters put at around \$16 billion. Millennium was also bidding.

Other Side Of The Book

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- Public book** Broker financed portion. One negotiated block to Citadel, Millennium also bidding.
- Anthropic stake** Agreed for sale Wednesday night. Pulled back by Thursday morning. Not sold.
- Other private** Residual. No auction, no negotiated bid, no observable clearing price.

WHO WAS ON THE OTHER END OF THE PHONE



The block absorbed, against Citadel firm wide assets. The block is 22.5% of the buyer.

0 bidders for the Seoul retail book

Every won clears through the opening auction, at whatever price the auction finds.

SOURCE: Block size of about 16 billion dollars per Reuters, fund status per WSJ and Bloomberg, all as cited in the text. The split of the roughly 10 billion dollar residual between the Anthropic stake (3.5 billion, agreed then withdrawn) and other private holdings is inferred from the text, not separately reported. Citadel firm assets of 71 billion dollars as cited. The 22.5% ratio is arithmetic.

Figure 7. The fund's book, in billions of dollars, and who was on the other end of the phone. The \$16 billion block was 22.5% of Citadel's entire firm assets — a very large bite, and only a handful of institutions on earth could have taken it.

Seven days from first forced sale to resolution. Brutal for a week, then finished.

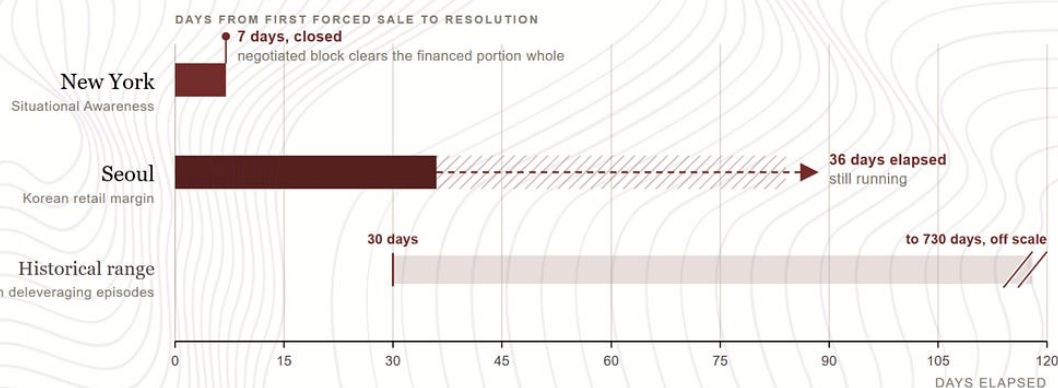
The Seoul call

Now run the same event for a Korean household. The account breaks. There is no prime broker to negotiate with, no rival fund to bid for the book, nobody to refinance the loan. Nobody has ever refinanced a retail margin account, anywhere. The shares go into the opening auction, and if the account is still short the next morning, they go again.

Time From First Forced Sale to Resolution

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SOURCE: Durations as stated in the text. New York resolved within a week of the letter of the 24th. Seoul at 36 days elapsed and unresolved. The historical Korean range of one month to two years is as stated; the 730 day upper bound falls off scale and is marked with a break.

Figure 8. Days from first forced sale to resolution. Seven for New York. Thirty-six and counting for Seoul. And the historical range for Korean episodes runs from 30 days to two years.

IN PLAIN ENGLISH — THE COMPARISON THAT MAKES THIS CLICK

Two sellers must sell property tomorrow. The first is a single company, and a larger company offers to buy the entire portfolio in one negotiation on Wednesday afternoon. Done, one price, one counterparty, everyone goes home.

The second is ten thousand separate households, each of whom must sell their own house, individually, at whatever the local auction fetches on the morning after their own personal deadline. There is no buyer for “ten thousand households.” There is no negotiation. There is an auction, every morning, until each account is either repaired or empty.

The houses are identical in both cases. The outcome is not remotely identical, and the reason is the ownership structure and the contract — not the property.

Four questions you can ask about anything

The author turns this into a general tool, and this is the part worth keeping long after the Korean story is forgotten. When something has fallen hard and you want to know whether the selling is nearly over or barely started, do not look at the asset. Look at who owes money against it, and read their contract. Four questions do most of the work.

Four Questions About Marginal Levered Holder		TSCS™
TSCS Visuals		
DIAGNOSTIC	TIER ONE Fund book, prime brokered	TIER TWO Household account, domestic broker
1 Can the book transfer whole?	YES Prime brokers arrange a block sale to another fund. One negotiation, one afternoon. SALP to Citadel took a day.	NO A million retail accounts. No counterparty and no mechanism except the open market.
2 Who chooses what gets sold?	THE HOLDER A fund under pressure sells what it picks and hedges what it keeps. Discretionary selling stops when the holder changes their mind.	THE CONTRACT The broker waterfall decides. Financed position that caused the shortfall, or earliest loan date. KB ranks by a collateral repair formula.
3 What is the cure period?	HOURS Primes negotiate with clients they want to keep. The clock is a relationship, not a rule.	ONE SESSION Through the next business day, then the opening auction takes it. The clock is a rule.
4 Is there a refinancing bid?	YES LP capital first. Rival funds bid on the book when the raise reportedly fell short.	NEVER Nobody refinances a retail margin account. Ever, anywhere.
RESULTING SHAPE and the posture it argues for	Violent and brief Forced supply clears in blocks at negotiated prices, then it is gone. The unwind itself is usually the buying event.	Grinds until repaired or empty The right posture is patience. This seller cannot stop early, even when prices recover.

Figure 9. The four questions, answered for each type of holder. “Tier one” is a fund book at a prime broker. “Tier two” is a household account at an ordinary broker.

First, can the book be transferred whole? For a fund, yes — one negotiation, one afternoon. For a million retail accounts, no; there is no mechanism except the open market.

Second, who chooses what gets sold? For a fund, the holder does: it sells what it picks and keeps what it wants, and discretionary selling stops the moment the holder changes their mind. For a household, the contract does, and it stops only when the account is repaired.

Third, how long is the cure period? For a fund, hours, negotiated with a client the bank wants to keep. For a household, one session, then the auction.

Fourth, is there a refinancing bid? For a fund, yes — investors first, and rival funds bid on the book if the raise falls short. For a household, never.

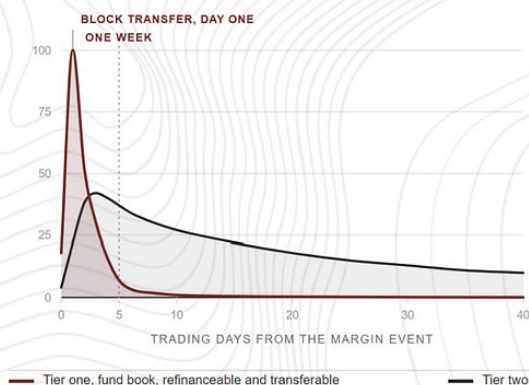
Two Completion Curves On Shortfall

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A. DAILY FORCED SUPPLY

Rate of involuntary selling per session
Index, tier one peak session = 100



B. CUMULATIVE COMPLETION

Share of the eventual forced supply already executed
% of total

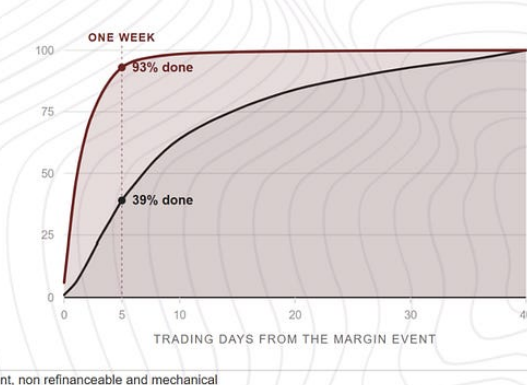


Figure 10. The same idea as two curves. Panel A is how much forced selling hits the market each day; panel B is how much of the total has already been completed. One week in, the fund-type unwind is essentially done and the household-type unwind is only partway through.

A fund unwind is a bandage rip: it hurts more in the moment and then it is over, and the violent day usually marks the bottom because the supply is genuinely gone. A retail unwind is a slow leak: barely noticeable on any given day, and still going a month later.

That also explains the staircase in Figure 2. Each bounce recruits fresh dip buyers into margin accounts, and some of those buyers become the next round of forced sellers.

WORTH KNOWING — WHERE I THINK THE ARGUMENT OVERREACHES

The seven-day New York resolution is presented as a structural property of fund books. But it was seven days because a \$71 billion buyer happened to exist AND happened to have both the capacity and the appetite that particular week.

Run the identical margin call in a week when Citadel is nursing its own losses and there is no block bid at all. “Tier one resolves in seven days” then stops being a mechanism and starts being a coincidence.

There is also a tidiness problem with having exactly two categories. Where does a pension fund lending out its shares sit? Or a family office borrowing through a swap contract — no retail-style margin call, but no investors to call for fresh money either? The framework is clearest precisely where reality is simplest.

Chapter 7: What he predicts, and how he could be proved wrong

Most market commentary is unfalsifiable by design — vague enough that the author can claim to have been right whatever happens. This piece is not, and that is the main reason it is worth your time.

The prediction, in one sentence: Korean margin debt does not recover its June trend before the end of the third quarter, and the fall from the ₩38.63 trillion peak exceeds 25% before it bottoms out — which puts the balance below ₩29 trillion.

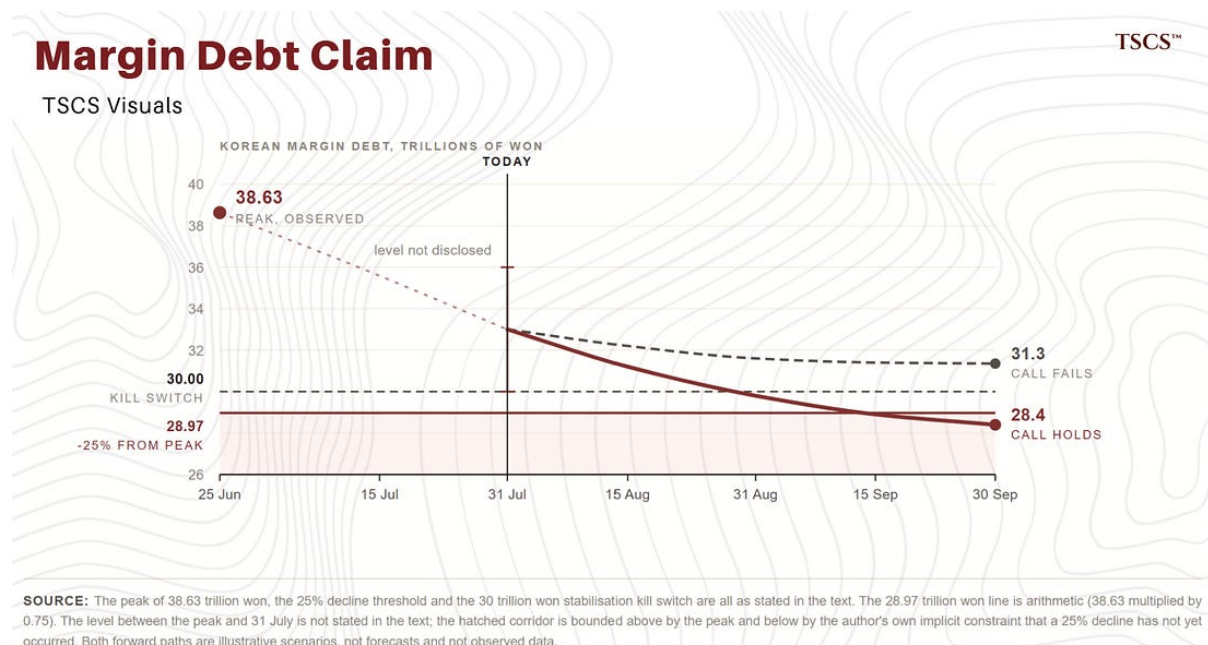


Figure 11. The prediction drawn out. The dot at 38.63 is the observed peak on 24 June. The vertical line is 31 July, the day of publication. The two paths to the right are the two outcomes. Both forward paths are illustrative scenarios, and the chart's own footnote says so.

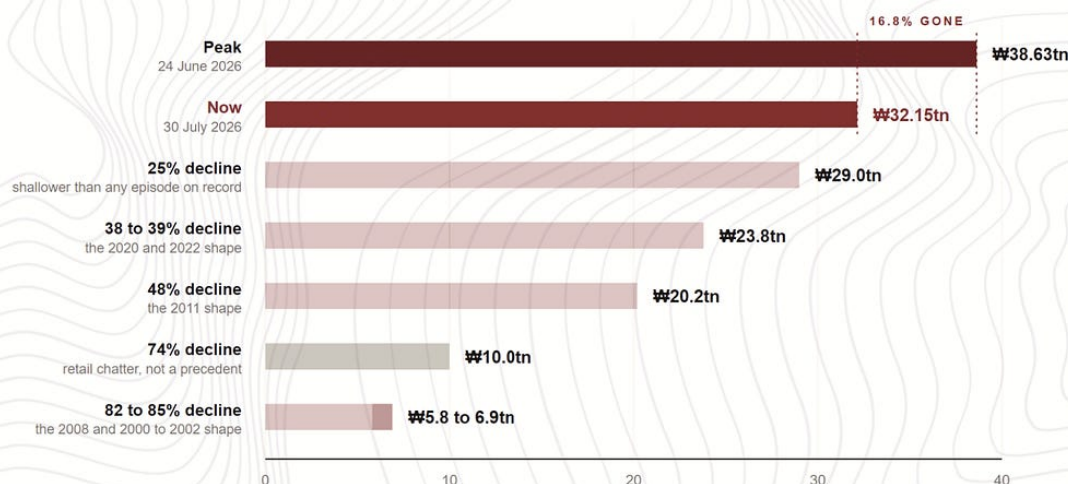
And then the condition for being wrong, stated in advance: if margin debt stabilises above ₩30 trillion for a month while the visible liquidation series sits back in its normal range, he is wrong. That would be a completed deleveraging at half the depth of the shallowest episode in twenty-eight years. He says he will publish it as a failed call, with the data attached.

There is a second trigger on the other side too: if the unpaid-settlement series prints a new high above ₩169.8 billion on any single day, the pressure is escalating rather than fading, and he pushes his expected bottom towards the deeper historical precedents.

Trough On Each Precedent

TSCS Visuals

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SOURCE: KOFIA FreeSIS, margin debt balance (신용거래용자 잔고), settlement basis, one day lag. Peak ₩38.63tn on 24 June 2026, ₩32.15tn on 30 July 2026. Trough levels are the peak multiplied by one minus each precedent depth.

Figure 12. Where each historical precedent, applied to this peak, would put the bottom in margin debt. The ₩10 trillion figure at the end is not his forecast — it is a level circulating among Korean retail investors themselves, included to show the mood rather than as a prediction.

He also argues the other side

A full section of the original is spent making the bullish case as strongly as possible. In the week the piece was published, Microsoft and Amazon both reported strong cloud results that justified their enormous spending on AI infrastructure. UBS raised its forecast for memory-chip demand growth to 36% for 2027 and expects shortages until at least the second quarter of 2028. Samsung and SK Hynix both reported record results. Foreign investors bought over ₩5 trillion of Korean shares in the first hour of trading on that record Friday. JPMorgan told clients the institutional selling in tech and memory looked finished.

On that reading, July was a financing accident that cleared at a discount, and the whole piece is a careful description of a bottom that had already happened.

WORTH KNOWING — TWO THINGS TO HOLD ALONGSIDE THAT BULL CASE

First, “Samsung and Hynix both printed records” is true but selective. SK Hynix did report record revenue, a record ₩94 trillion net profit and a 76% operating margin, and overtook Samsung as Korea's most valuable listed company. It also came in below what analysts expected, and its shares fell 46.69% over the month. Samsung's consumer electronics division posted its first-ever quarterly loss, of ₩0.8 trillion.

Second, the Korean government's ₩20 trillion sovereign fund, announced that Friday and read by some as official support for the market, is mostly not cash. It is roughly ₩16 trillion of existing government shareholdings in state banks plus about ₩4 trillion of shares received in inheritance tax. It requires a change in the law, which is only being submitted in August, and it is not due to start operating until 2027 — with a mandate to take strategic stakes in AI, defence and biotech, not to support the stock market.

Chapter 8: Where things actually stand

The piece was published on Friday 31 July, after that record 17.91% rebound. The first trading session afterwards was Monday 3 August.

The Korean index closed at 6,274.74, down 4.86%. Samsung Electronics fell 7.52% to ₩243,000. SK Hynix fell 6.90% to ₩1,600,000. Both remain far below their highs of the past year — Samsung's was ₩370,000 and Hynix's was ₩2,945,000.

The detail that matters is what happened elsewhere on the same day. In Tokyo, Kioxia — a memory chipmaker, the same industry — rose 6.37%, and the Japanese index fell only 1.12%. In New York the week before, Nvidia, Microsoft and Amazon had all risen.

If July had been a change of mind about how much memory the world needs, all of these would have moved together. They didn't. What separated Seoul from Tokyo and from New York was not the chip. It was the loan.

One trading day does not settle anything, and it should not be treated as though it does. But if you are scoring the two readings against each other, the first live test after publication went to the author rather than to the bull case. His own deadline runs to 30 September, and the sensible posture is to wait for the data rather than the daily tape.

WORTH KNOWING — WHAT TO WATCH, IF YOU WANT TO FOLLOW THIS YOURSELF

All four of the series the argument rests on are published daily by KOFIA, free, with no login: margin debt balance (신용거래용자 잔고), customer cash deposits (투자자예탁금), unpaid-settlement liquidations (미수금 반대매매), and total market capitalisation.

The two things to watch for: does margin debt stabilise above ₩30 trillion for four straight weeks before 30 September, and does the daily liquidation figure ever print a new high above ₩169.8 billion. The first means he was wrong. The second means it is getting worse.

CLOSING

The one sentence to remember

If you take nothing else from this document, take this.

When something has fallen a long way and you want to know whether the selling is nearly finished or barely begun, do not analyse the asset. Find out who owes money against it, and read their contract.

A borrower who can be refinanced, or whose whole position can be bought in one negotiation, will sell violently and briefly — and that violent day is usually the end of it, because the forced supply is genuinely gone afterwards. A borrower who can only be sold, one account at a time, into an auction every morning, will grind for as long as it takes to repair or empty the accounts. No amount of good news speeds that up and no amount of bad news slows it down, because it is not a decision. It is arithmetic in a loan agreement.

Same shares. Same week. Two completely different endings.

REFERENCE

Glossary

Margin account	A brokerage account in which you can buy shares partly with money borrowed from the broker, using the shares themselves as security.
Margin debt	The total amount borrowed in those accounts. Korea's peaked at ₩38.63 trillion on 24 June 2026.
Collateral	Something a lender can seize and sell if the loan is not repaid. Here, the shares in the account.
Maintenance ratio	The minimum value the collateral must keep relative to the loan. 140% is Korea's regulatory floor; individual brokers often demand 150% or 165%.
Margin call	The notice you receive when the collateral falls below that line, with a deadline to restore it.
Cure window	The time you have to fix it. In Korea, the end of the next business day.
Waterfall	The broker's fixed order for deciding which of your holdings to sell when you don't fix it — typically starting with the position that caused the shortfall.
Opening auction	The batch process that sets a stock's opening price by matching all the orders accumulated overnight. Forced sales clear here, at whatever price the batch finds.
Investor deposits	Cash customers hold at their brokers, deposited but not yet invested. Korea publishes this daily; it was ₩136.55 trillion on 24 June and ₩104.66 trillion by 30 July.
Margin-debt-to-deposits ratio	Margin debt divided by investor deposits — the Bank of Korea's gauge of speculative heat. It read 0.283 at the peak, the 27.6th percentile since 2005.
Percentile	Where a reading sits in its own history. The 27.6th percentile means it was higher than only 27.6% of all past readings — i.e. unusually low.
Unpaid settlement (미수금)	Trades a buyer could not pay for on settlement day. Korea's published “forced selling” statistic counts only these, and excludes margin-account liquidations entirely.
T+2	The convention that a share trade settles two business days after it is agreed.
Deleveraging	The process of borrowed money being repaid or liquidated out of a market, usually painfully.
Single-stock leveraged product	A fund that mechanically delivers a multiple — here, twice — of one company's daily share move, in both directions.
Prime broker	The investment bank that lends to a hedge fund, holds its assets and can arrange a sale of its book.
Circuit breaker	An automatic halt to trading across the whole exchange after a large fall. Korea triggered these on consecutive days on 28 and 29 July 2026, for the first time in its history.

DRAM

The main type of computer memory chip. Samsung, SK Hynix and Micron dominate its production; how profitable it stays is the central question hanging over both Korean names.

Source article: TSCS, "Two Margin Calls," 31 July 2026. All charts are the author's own, reproduced from the original publication. Independent checks against KRX, KOFIA FreeSIS, Bank of Korea, Seoul Economic Daily, TradingKey, CNBC, Reuters, Bloomberg, WSJ and stockanalysis.com, current as at the close of 3 August 2026. This document explains someone else's argument; it is not investment advice.